

Recommendation: The "Cash-Flow Protected" Commission Schedule

For a Seed-stage company like BlockDrive, your commission plan must balance two opposing forces: **motivating talent** (who are taking a risk on you) and **protecting runway** (cash is oxygen).

The following schedule is designed for your **Year 1-2 Lean Hiring Plan**, specifically targeting the transition from Founder-Led Sales to your first SDR and AE hires.

1. Commission Philosophy: The "Rule of 4"

For any sales hire (AE or SDR), their **Quota** should be **4x to 5x** their **On-Target Earnings (OTE)**.

- **Formula:** If an AE wants \$120k OTE (\$60k Base / \$60k Commission), they *must* bring in at least \$480k - \$600k in ARR.
 - **Why:** This ensures they pay for themselves, cover their overhead (tools, taxes), and contribute to the burn rate.
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2. Role-Specific Commission Structures

Phase 1: Founder-Led Sales (Months 1–12)

- **Role:** CEO / Founders
- **Commission:** 0%.
- **Rationale:** Founders are compensated via equity and the increasing valuation of the company. Paying yourself commission is just recycling your own seed capital and shortening your runway. Your "commission" is the Series A markup.

Phase 2: The First SDR (Months 13–16)

- **Goal:** Book meetings for the CEO (initially) and later the AE.
- **Comp Split:** **70% Base / 30% Variable** (e.g., \$42k Base / \$18k Commission = \$60k OTE).
- **Commission Drivers:**
 1. **Qualified Meeting Held (SAO):** Pay **\$100 - \$150** per meeting that actually happens and meets qualification criteria (e.g., correct team size). This incentivizes quality over quantity.
 2. **Closed-Won Bonus:** Pay a small kicker (**1-2%**) on closed revenue sourced by them. This aligns them with the *outcome*, stopping them from throwing "junk" meetings over the fence.

Phase 3: The First Account Executive (Months 10–18)

- **Goal:** Close "Scale" (\$199/mo) and "Enterprise" deals.

- **Comp Split: 50% Base / 50% Variable** (e.g., \$60k Base / \$60k Commission = \$120k OTE).
- **Commission Rate: 10% - 12% of First Year ARR.**
 - *Example:* Closing a "Scale" Tier deal (\$199/mo + 10 seats @ \$39/seat = ~\$600/mo = \$7,200 ARR).
 - *Payout:* AE earns **\$720 - \$864** commission on this deal.
- **The "Draw" (Critical for First Hires):**
 - Offer a **Non-Recoverable Draw** for Months 1–3 (Ramp Period). This guarantees their full OTE while they build pipeline, reducing their risk of joining a startup.
 - Switch to a **Recoverable Draw** or no draw in Month 4+.

3. The BlockDrive Specifics: Payment & Timing

Since you sell a "Hybrid" product with monthly recurring revenue (MRR) and potential annual prepayments, payout timing is critical for your cash flow.

Scenario	Commission Trigger	Payout Timing	Cash Flow Impact
Annual Pre-Pay	Booking + Payment	100% Upfront (Month 1)	Neutral. You have the cash; pay the rep immediately to drive dopamine.
Monthly Plan	Booking	50% Upfront / 50% Month 6	Protective. Paying 100% on a monthly deal is risky if they churn in M2. This "clawback buffer" protects you.
Usage (Seat) Overage	Quarterly Review	Paid Quarterly	Administrative Ease. Don't calculate commission every month on fluctuating seat counts. True-up quarterly.

4. Accelerators (The "Greed" Engine)

To prevent sandbagging (reps holding back deals), implement accelerators once they hit 100% of their quota.

- **0% - 100% Quota:** 10% Commission Rate.
- **101% - 125% Quota:** 12% Commission Rate (1.2x multiplier).
- **126%+ Quota:** 15% Commission Rate (1.5x multiplier).

Why this works: It mathematically incentivizes your rep to close *everything* they can in Q4, rather than pushing a deal to Q1 to hit an easier target.

5. Strategic Recommendation

Avoid "Commission-Only" roles.

In seed-stage deep tech, they rarely work. The sales cycle is too educational/technical. Good reps won't take the risk, and bad reps will burn your leads. Stick to the 50/50 split with a 3-month non-recoverable draw to attract talent that can actually sell a complex privacy solution.